

a small percentage of your property's assessed value, between 0.27–2.47%.⁷⁰

And finally, after you have spent all this money on all of these things, you will be asked to show that you still have cash reserves in the bank in case anything should go wrong. You do not need to memorize all of this right now; you just need to know that it often requires a lot more money up front to buy a home than people expect.

What Are the Best Terms for a Home Loan?

In America, the standard term length for a home loan (how long it takes to pay off) is 30 years. If you bought a house in the year 2020, you might not make your final payment until the year 2050. Because you have already learned about interest, you know that the longer it takes to pay something off, the more expensive it becomes. If you can pay your house off in 15 years instead of 30, it can save you hundreds of thousands of dollars. Figure 11.3 demonstrates the costs of a 15-year versus a 30-year mortgage on a \$320,000 loan. These rates are given as an example and are not set rates for all 15 and 30-year mortgages.

70 John S. Kiernan, "PropertyTaxesbyState," WalletHub, February 25, 2020, <https://wallethub.com/edu/states-with-the-highest-and-lowest-property-taxes/11585>.